CA FINAL

VISHESH REGULAR FOR 2026 ONWARDS

ADV. Audit | **Lecture - 4**

CHAPTER – 18

ESG and SDG Audit

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Recap of previous lecture

1. ESG & SDG Audit MCQs

Topics to be covered

1. One Shot Revision

E → environmental
S → Social
G → Governance

CHAPTER 18: Sustainable Development Goals (SDG) & Environment, Social and Governance (ESG) Assurance:

➢ Sustainable Development & It's 3 Pillars:

Sustainability:

- Development of products, goods and services that involves meeting our present needs without compromising the ability of future generations to fulfil their own needs. (As resources are Limited i.e., exhaustible resource)
- It's named after Brundtland report, which reports sustainable consumption in developed countries.

Sustainable Development:

As per Brundtland report, Sustainable development is development that strives to meet the needs of developing countries seeking to achieve a more sustainable world. Sustainable development addresses the needs of the present moment without compromising current and future generations to meet their own sustainable lifestyles.

❖ Sustainable development can be applied to corporate policy: **3 Pillars of sustainability (ESG):**

Environment(E):

[natural resources khatam kar diye.. pollution fela diay.. us wjh se Climate change hora h .. ab thik karo usse]

Environmental stands for corporate climate policies, energy use, waste, pollutions, natural resource conservation, and treatment of animals.
It includes the natural resources that every entity absorbs → like that of coal, electricity, water and so on. Processing this energy into products / services which will leave behind certain wastes like that of carbon emissions, water discharges, e-wastes and so on.

Elements of Above Pillar:

Climate Change:	Natural Resources:	Pollution & Waste:	Environment Opportunity:
• Carbon Emissions • Product Carbon FootPrints • Financing Environmental Impact • Climate Change Vulnerability	• Water Stress • Bio-diversity & land use • Raw Material sourcing	• Toxic emission and waste • Packing Material & waste • E- Waste	• Clean Tech • Green Building • Renewable Energy

Social(S):

[Human apni capital lagaake product banaata h → fir koi n koi social worker aake usse oppose karta h]

Q1. ESG Reporting → During the review of its sustainability practices, Mngt is keen to assess safety of products, its quality & labour relations. Which Pillar ? & Key Element in it [Sep'25]

Social Pillar :It addresses the relationships the entity has and the reputation it fosters with people and institutions in the communities where you do business and the value chain involved. It further includes labour relations, diversity, and inclusions. (Society)

Elements of Above Pillar:

Human Capital:	Product Liability:	Stakeholders Opposition:	Social Opportunity:
• Labour Management • Health & Safety • Human Capital Development • Supply Chain Labour Standards	• Product Safety & Quality • Chemical Safety • Financial Product Safety • Privacy and Data Security • Responsible Investment	• Controversial Sourcing	• Access to Communication • Access to Finance • Access to Health Care • Opportunities in

				Nutrition & Health

Governance(G):	It is the internal system of practices, controls, and procedures entity adopts in order to govern itself, make effective investment decisions, comply with the law, and meet the needs of all stakeholders.

Elements of Above Pillar:	
Corporate Governance:	**Corporate Behaviour**
• Broad Diversity • Executive Pay • Ownership • Accounting	• Business Ethics • Anti - Competitive Practices • Corruption & Instability • Financial system and stability • Tax Transparency

➢ **ESG Reporting:** (it's sub-part of Sustainable reporting)	
Added Value:	Environmental, Social and Governance (ESG) reporting is all about disclosure of information, data, metrics that **explain the added value in these three areas.**
Q & Q:	ESG reporting can be both quantitative and qualitative in nature.

Qualitative report:	describe a company's strategy or policy around the relevant topics,
Quantitative approach:	includes metrics, and key performance indicators (KPIs) linked to each area in order to measure progress against goals and report on achievements

Mixed approach that makes use of both qualitative and quantitative information tends to add the maximum value to the quality of disclosures

Q2. SEBI has mandated BRSR for certain listed companies. **Discuss the nature of ESG reporting. How can corporates contribute to Sustainable Development Goals (SDGs)**? (RTP'24 & SM)

Hint: → *Refer Above Topic* "*3 Pillars of (ESG)*" →"*Environment, Social & Governance*" → ***Explain about them ..*** *(However, Do Not mention , "ELEMENTS of Pillars")* →Also explain ***"ESG Reporting"*** *(as mentioned in above notes)*

- UN members states adopted Sustainable Development → Sustainable Development Goals (SDGs). They recognized that ending poverty & other deprivations, strategies that improve health & education, reduce inequality, & tackling climate change etc. **Corporates can contribute to SDGs due to their capacity to provide solutions necessary for meeting SDGs.** Companies can lead in innovation & contribute to achievement of SDG.

Q3. What is your understanding of "Sustainability reporting"? Can you list some of its expected benefits?

➢ **Sustainability reporting:**	
Meaning:	• Sustainability reporting is an organization's practice of reporting publicly on its Economic, Environmental, and/or Social impacts [ESG], and hence its contributions – positive or negative → towards the goal of sustainable development • Sustainability reporting refers to the info. that companies provide about their performance to the outside world on a regular basis in a structured way. It is the comprehensive mechanism of measuring & disclosing sustainability data with performance indicators and mngt disclosures
Expected Benefits:	• Stakeholder: It can help stakeholders to understand organizations performance vis a vis sustainability and impacts. The reporting process emphasizes the link between financial and non-financial performance. • Investors: Such reporting help entities to focus on long-term value creation, by addressing environmental, social and governance (ESG) issues. Since investors are increasingly recognizing that environmental and social issues provide both risks and opportunities in respect of their

	investments and are seeking disclosures on environmental and social performance of businesses, they can use ESG performance of companies to make investment decisions. • Own Business & Customer: Investing in social and environmental issues will not only improve own business continuity of companies but also put them in a better position with their B2B (Business to Business) customers as well as enable them to acquire new ones.

➢ Sustainable Development Goals [SDG]:

About:	• In 2015, Sustainable Development was adopted by all United Nations Members states to provide a blueprint, which mentioned the Sustainable Development Goals (SDGs) • 17 SDGs which are considered as an urgent call for action by all countries, whether developed or developing countries. • SDG plays a key role in the evaluation of UN systemwide implementation of the 2030 Agenda → broad ownership of the SDGs must translate into a strong commitment by all stakeholders to implement the global goals *[For more Details: Refer Additional PDF Booklet]*

17 SDG's:		
PHHEE WE WI IS CC LLP	1) No Poverty	10) Reduced Inequalities
Gareebi / inequality (4)	2) Zero Hunger	11) Sustainable Cities & Communitites 12) Responsible Consumption & Production
Sabko health & education (har gender ko) 3	3) Good Health & Well Being	
	4) Quality Education	
	5) Gender Equality	
Paani/Bijli (2)	6) Clean Water & Sanitization	
	7) Affordable & Clean Energy	
Growth ki wjh se sab jgh ka climare kharab hora h (6)	8) Decent Work & Economic Growth	13) Climate Action
	9) Industry Innovation & Infrastructure	14) Life Below Water
		15) Life on Land
	16) Peace, Justice & Strong Institutions	17) Partnership for the Goals

➢ GLOBAL TRENDS IN SUSTAINABLE REPORTING

Q4. What are the global trends in sustainable reporting? [ICAI SM]

Mandatory reporting:	The mandatory reporting requirements are mostly associated with: public sector or government companies, large corporations, multi-national business conglomerates, and listed companies in the stock exchanges → Furthermore, sector-specific, and thematic reporting provisions
	➢ **Worldwide Frameworks for Reporting Sustainability Performance**
Global Reporting Initiative (**GRI**)	Helps the organizations to report on **E**conomic, **E**nvironmental, and **S**ocial impacts [EES]. This report is addressed to all the stakeholders of the entity. It's most widely used framework in the world (100 countries, 250 Large corporation (Amsterdam, Netherlands, Brazil, India, China, US etc)
Carbon Disclosure Project (**CDP**)	Captures the environmental performance data which is related to GHG emissions, water, forests, and supply chain. Major details required to be reported are climate change, Forest, and Water security. addressed to all the investors, buyers, and other stakeholders of the entity.
International	has established guiding principles and content elements in order to allow the companies to

Integrated Reporting Framework (IIRC)	produce integrated reports. This report consists of Organisational overview, Governance structure, Business model, risks and opportunities, strategy, performance, outlook etc.

Below are Some Timelines innovations:

Comprehensive corporate reporting system	In Sept 2020 → these framework & standard setting institutions came together to set → comprehensive corporate reporting system, Intent of Collaboration: - Joint guidance on how frameworks & standards can be applied in complementary way - how these elements could complement financial generally accepted accounting principles (Financial GAAP) (coherent, comprehensive corporate reporting system)
ISSB	International investors with global investment portfolios are increasingly calling for high quality, transparent, reliable, and comparable reporting by companies on climate and other environmental, social and governance (ESG) matters Nov 21, IFRS Foundation Trustees created new standard board → the International Sustainability Standards Board (ISSB)—to help meet this demand. **Intent of IISB**: to deliver a comprehensive global baseline of sustainability-related disclosure standards that provide investors and other capital market participants with information about companies' sustainability-related risks and opportunities to help them make informed decisions.
TCFD:	**Task Force on Climate-Related Financial Disclosures**: Created by Financial stability board (FSB) in 2015: with the goal of helping companies create consistent climate-related disclosures. [Unlike GRI which focus on wide range of organization → TCFD target only →Companies that predominantly handle financial-related interests, such as banks and insurance firms]
CDSB:	**The Climate Disclosure Standards Board**: International group of business and committed to making climate-rated disclosures in the mainstream global corporate reporting. → disclose climate related risks and opportunities. → approach on for reporting environmental info.
VRF	**The Value Reporting Foundation**: a non-profit organization which was a result of the merger between SASB Foundation and the International Integrated Reporting Council (IIRC). The International Accounting Standards Board (IASB) and the ISSB has agreed to work together in order to build an Integrated Reporting Framework.

➢ INTEGRATED REPORTING (6 C's) i.e., 6 capitals:

Q5. What are the 6 C's of Integrated reporting? Or,
Q. how would you explain the essential components of Integrated Reporting to the board?

Trick: FS M NHI (FS Me show krna hai ? NHI)

Financial Capital:	• Pool of funds that is available to the organization for use in the production of goods or provision of services. • Obtained through financing, such as debt, equity, or grants, or generated through operations or investments
Social Capital:	• Institutions & relationships established within and between each community, group of stakeholders and other networks to enhance individual and collective well-being • Common values and behavior. • key relationships, the trust and loyalty that an organization has developed and strives to build

	and protect with customers, suppliers, and business partners. • an organization's social license to operate.
Manufactured Capital	• Seen as human-created, production-oriented equipment and tools. • Available to the organization for use in the production of goods or the provision of services, including buildings, equipment, infrastructure (such as roads, ports, bridges & waste, and water treatment plants).
Natural Capital:	• Is an input to the production of goods or the provision of services. • An organization's activities also impact, positively or negatively, on natural capital. • Includes water, land, minerals and forests, biodiversity, and ecosystem health.
Human Capital:	People's skills and experience, their capacity, and motivations to innovate, including their: • Alignment with and support of the organization's governance framework & ethical values such as its recognition of human rights • Ability to understand and implement an organization's strategy. • Loyalties and motivations for improving processes, goods, and services, including their ability to lead and to collaborate
Intellectual Capital:	Key element in an organization's future earning potential, with a tight link and contingency between investment in R&D, innovation, human resources, and external relationships, which can determine the organization's competitive advantage.

Q6. Listed company → sustainability report based on "Integrated Reporting" on a voluntary basis, identify which capitals of "Integrated Reporting" are being referred above respectively? (SM)

i) It has increased the No. of customers using digital customer mobile app for collection → Intellectual Capital

ii) It has increased the number of beneficiaries under its flagship CSR programmes. → Social & Relationship Capital

iii) It has secured a loan to expand its operations & invests funds in purchasing machinery → Financial Capital

➢ GLOBAL SCENARIO IN VARIOUS COUNTRIES

<table>
<tr><td>United States

[RR-SM]</td><td>In March 2022, the US Securities and Exchange Commission (SEC) proposed climate-risk disclosure requirements, which would expand the annual reporting requirements of publicly traded companies. In their SEC filings, companies would be required to discuss financially material, climate-related risks guided by the TCFD recommendations. Reporting would include:
• The company's climate Risk management processes
• How the Risks identified would impact financial performance
• Any Scenario analysis, transition plans, and publicly announced climate goals
• How these risks are Managed and mitigated</td></tr>
<tr><td>United Kingdom</td><td>UK ESG disclosures is the Co. Act of 2006, which includes requirements for annual reporting.
<table>
<tr><td>Applicable:</td><td>These rules apply to large companies that are either
• Listed, or
• Exceed £500 million in annual turnover, or
• have more than 500 employees.</td></tr>
<tr><td colspan="2">Non-financial information include sustainability matters, align with the recommendations from the Task Force on Climate-Related Financial Disclosure (TCFD).</td></tr>
<tr><td>Required to discuss strategy, processes, and due diligence regarding matters of:</td><td>• The environment (including the company's impact on the environment)
• The company's employees
• Social matters
• Respect for human rights
• Anti-corruption and anti-bribery</td></tr>
</table></td></tr>
</table>

	Specific **Climate Related Disclosure** (Under Environment):	• Climate change-related risks and opportunities • How these risks & opportunities are managed through targets & KPIs • How climate change is addressed in corporate governance • How climate risk impacts strategy
	Additionally, large UK companies are required to report on their UK energy use and carbon emissions within their annual reports through the Streamlined Energy and Carbon Reporting	

➢ EVOLUTION OF ESG IN INDIA

2009	MCA Issued : Corporate Social Responsibility **VOLUNTORY** Guidelines 2009 element (element focus on Ethical functioning, Rights and welfare of workers, environmental)
2011	National **Voluntary** Guidelines on Social, Environmental and Economic Responsibilities of Business' (Comprehensive principles: adopted by companies as part of their business practice.)
2012	SEBI Mandates top **100 listed companies** to file Business Responsibility Report **(BRR)** (ESG principles)
2015	**BRR** became part of SEBI LODRS → in respect of reporting on ESG → **Top 500 Listed entities** (market capitalization)
2017	SEBI recommend **Integrated Reporting to prepare BRR** for top **500 listed companies** (Voluntary)
2019	MCA formed National Guidelines on Responsible Business Conduct (NGRBC).
2019	BRR became mandatory for top **1,000 listed companies**
2021 (BRSR) Voluntary	SEBI Introduced → New reporting requirements on ESG parameters called the Business Responsibility and Sustainability Report (BRSR) → It seeks disclosures from listed entities on their performance against the 9 principles of 'National Guidelines on Responsible Business Conduct' (NGBRCs) and Reporting under each principle is divided into 1) Essential Indicators: Mandatory Reporting 2) Leadership indicators: Voluntary basis BRSR is intended towards having quantitative & standardized disclosures
2022	Top 1000 listed companies → to File BRSR along with Annual report (Mandatory)

Q7. What type of companies are required to mandatorily furnish BRSR as per SEBI circular w.e.f FY 2022-23?

Hint: Top 1000 listed companies

➢ BUSINESS RESPONSIBILITY AND SUSTAINABILITY REPORT (BRSR)

The reporting **questionnaire** is divided into **3 sections**:		
Section A: General Disclosures	**Section B:** Management Process and disclosures	**Section C:** Principle-wise performance disclosures
contains the details of the listed companies, its products,	It contains questions related to policy and management	Companies are required to report upon Key performance indicators (KPIs) in alignment with the nine principles of the NGRBC. The section **classifies KPIs into two categories** that companies are required to report upon:

services, operations, employee related details, its holding, subsidiary, associate companies etc.	processes, governance, leadership, and oversight	**I] Essential indicators (Mandatory disclosures)** include data on training programs conducted, environmental data on energy, emissions, water, waste management, anti-curruption etc. **II] Leadership indicators (Optional disclosures)** include life cycle assessments, details of conflict management policy, additional data, on biodiversity, energy consumptions, supply chain managements , awareness program etc.

Q8. Co. gave BRSR disclosure → provides info on its workforce strength, gender diversity, no. of subsidiaries, & policies on human rights. It also discloses data on energy consumption, carbon emissions (not include life cycle assessments) → Identify which Section of BRSR (Whether mandatory disclosures covered) [MTP'25]

Hint: (*Mention above 3 Sections*) →

- info related to its workforce strength, gender diversity, & No. of subsidiaries → section A (General Disclosure)
- policies on ethics, diversity, human rights, and Environ. → Section B - Management Process and disclosure
- energy consumption, carbon emissions, → Mandatory Essential Indicators under Section C - Principle-wise

has not disclosed life cycle assessments, details of its biodiversity conservation initiative which are leadership indicators. Since, disclosure of Leadership indications is optional, therefore, their exclusion does not violate.

Nine Principles of BRSR

[Its' based on ESG component: 2 of Environment, 3 of Social, 4 of Governance → interlinked to each other in some way → Eg. environmental protection is closely linked to the stakeholder engagement and inclusive growth]

Principle 1: Ethics, Transparency & Accountability **(May'24)** *(Special Trick by CA Hemant Somani ;-)*	**Q9.** One of the principles emphasizes that the business decisions in an organization should be open to disclosure and accessible to the relevant interested parties. (May 2024 & SM) **Answer:** **Business decisions** in an organisation should be **open to disclosure** and **accessible to** the **relevant interested parties.** *[Trick: "**Policy**" & "**Governance structure**" hai ? "**stakeholder**" ko d rkha h ? agar kuch "**adverse**" hoa to "**repond**" kese karoge ?]* 1) Policies & procedures: The entities' governing structure should develop policies, procedures, and practices for their offices, factories, and work areas, ensuring that ethics is not compromised. 2) Governance Structure: The entities in the value chain should be encouraged to adopt these principles by governance structure. 3) Available to the stakeholders: The information relating to the policies, procedures, and practices along with the performance should be made available to the stakeholders. 4) Adverse: In case of adverse effects, more care to be taken for transparent disclosures. 5) Violation Response: The entities should proactively respond to outside entities that violate the 9 principles of the BRSRs. This includes their suppliers, distributors, sub-contractors, or regulatory officers that may engage with the business concern.
Principle 2: Safe and Sustainable Goods and Service: *(Product banana*	The entities should make sure that **goods, services, and operations → will result in better life for the consumers** and end-users. 1) Production method & technology: When a product is designed by the entity, the production methods and technologies have to be devised in such a way so as to minimize the resource usage to make it sustainable. 2) Reduce/Reuse/Recycle: The entities should take measures that reduce the over

k phle, banana k baad, bechne k baad)	exploitation of the nature's resources by consuming sustainably and encourage methods for reduce, reuse and recycling of the resources. 3) Customer Rights: The entities are also responsible to educate and make aware their consumers and clients about their rights.
Principle 3: Promote well-being of all employees including those in the value chain:	**Q10.** Employees raised issue reg delay in salary, work life balance → BRSR ?. (RTP May'25) All the **initiatives an entity has to take for the benefit of its employees** from the point of view of their dignity, health, well-being. 1) Regulatory requirements: The entity should ensure compliance with all regulatory requirements as far as employees are concerned. 2) Dignity of People: The entities are to respect the dignity of employee as a human being & should not restrict their freedom of associations, unions, & other participatory mechanism for collective bargaining of their rights & redressal of issues they face at workplace 3) Child Labor: The entities should prevent all kinds of child labour, bonded labour, and any other forms of involuntary labour. 4) Work Life Balance: The entities should have a system in which the work-life balance of the employees is not compromised. 5) Timely Wages Payment: The businesses have to ensure timely payment of the worker's wages and compensation. 6) Wages as per Living & Security: Payment of the wages has to be as per the living wages, that can take care of the basic needs and provide economic security to the employees. 7) Workplace safe & comfortable: Entities are responsible to create a workplace and work environment that is safe, hygienic, &comfortable for people to work for long durations. 8) Training: The skill development, career development and training of the workforce is another responsibility of the entities employing them. 9) No Harassment & Violence: The creation of a workplace which is free of harassment and violence is also a responsibility of the entity.
Principle 4: Respect for stakeholders' interests and responsiveness:	Interested party or **stakeholders** to a business has been a **point of discussion in all the regulatory & voluntary systems** that relate to the management system of any organisation, be it related to the **quality, environment** or the occupational health and **safety of the workers**. *[**Trick**: stakeholder ko identify karo > unse communicate karo > fir benefit aadan pradan karo]* a) Identify Interested parties (Stakeholder): The entities have to systematically determine the context of their operation and identify their interested parties. b) Transparent & communicate with Stakeholder: The entities have to be transparent & communicate with stakeholders about the impacts of their operations and business decisions on the people & nature. Policies, decisions, & impact of operations of organisation to stakeholders have to be disclosed transparently with no ambiguity. c) Share Benefit with Stakeholder: Entities should fairly share benefits to stakeholders or give an opportunity to them to benefit from the operations in an equitable manner.
Principle 5: Respect and promote human rights: *(Special Trick by CA Hemnt*	Vast topic that covers wide variety of **violence & belligerent abusive issues faced by people**. *[**Trick**: Understand **human right** of **all** stakeholders > fir usse **system** me daalo .....]* a) Understand Human Rights: Entities should have clear understanding of human rights & various ways by which human rights can be violated from perspective of the Constitution of India, national laws and policies and the content of International Bill of Human Rights. b) Rights of All Stakeholders: Businesses should recognize and respect the human rights of all relevant stakeholders and groups within and beyond the workplace, including that of

Somani ;-)	communities, consumers, and vulnerable and marginalized groups c) System to integrate with Human Policy: Entities when developing their mngt systems, should integrate the human rights element into their policies, procedures, and practices.
Principle 6: Protection and restoration of Environment: ***(Qn RTP Jan'26)***	Environmental responsibility as basic requirement for economic prosperity & sustainability. *Trick: "**Policy**" banao ki "**pollution**" jyada ni karna > means plastic jyada use mat lo .. lo to "**recycle reuse**" karo … jisse "**nature**" & "**climate**" shi rahi …* a) Policy to assess Impact on Environment: The entities should have policies, procedures, and practices in place to assess and rectify impacts to the environment. This should cover the whole life cycle of the product. b) Performance of Preventing Pollution: The entities have to measure their performance relating to the prevention of pollution, destruction of forests, waste generation, energy use, land use, etc. c) Reduce/Reuse/Recycle: The entities should explore the comparison of its activities with industry best practices to reduce, reuse and recycle/ recover materials, resources. d) Natural & Manmade resources optimum: The entities have to make use of natural and manmade resources in an optimum manner to ensure their sustainability by taking feedback from the stakeholders. e) Climate change: The entities have to contribute towards climate change resilience in line with India's commitment to various international mechanisms such as, Paris Agreement and National Action Plans for Climate Change. f) Avenue to improve Environmental: The companies have to look out for avenues by which they can improve their performance towards various environmental responsibilities.
Principle 7: Influence on Public and Regulatory Policy:	**Influencing the policy formulation positively recognizes that** the **businesses operate within** the **framework of statutory and legislative policies** of the governing authority. a) Policy Formulation: The core elements of BRSR are to have met holistically when the organisation go ahead with their contributions to policy formulation and policy advocacy. b) Collective associations such as, the trade groups and industry chambers have to be utilized when moving ahead with the policy advocacy and formulation. c) Encourage Fair competition & Human rights: Role in policy advocacy by the organisation should be in such way that it encourages fair competition & prevents human rights abuses.
Principle 8: Promote Inclusive Growth and equitable development:	**Q11.** contributing to one another for better livelihood, & assistance to marginalized communities." This can work only with **close participation & collaboration amongst entities, authorities**, the civil associations contributing to one another **for a better livelihood** & assistance **to the marginalized communities.** *Trick: "**people pe impact**" hoa kya ? > "**adverse impact**" that ? >to bhai galat hogya .. ab "**Marginalized society**" ki help karo .. "**CSR**" karo unpe … unko pareshan mat karna ab "**reallocate**" krke* a) Impact on People (Social, Cultural & Economic): The entities should have systems in place to identify and address impacts of their activities on the social, cultural, and economic aspects of the people. This includes business created issues like, land acquisition and use and construction activities for new facilities b) Adverse impact on Society: The entities should review, measure, and track the adverse impacts of their activities on the society and environment and make action plans to mitigate them adequately c) Creative to help Marginalized: The entities should make efforts to bring up creative

	products, technologies, and business concerns that help the marginalized communities to have well-being and a better quality of life. d) CSR: Entities when designing their CSR activities should review the local and regional development priorities to help the marginalized groups and communities. e) Not Reallocate Communities: The entities should take care to ensure that business induced displacement or relocation of communities does not happen, and in unavoidable cases, should make sure to have mutually agreed, participative, and informed negotiations to provide fair compensation to the affected people. f) Intellectual Property: All forms of intellectual property & traditional knowledge should get the deserved respect from the organisation, and efforts should be made to ensure that benefits derived from their knowledge are shared equitably.
Principle 9: Provide value to the consumers in a responsible manner:	**Q12.** Company Misleading Advertisement, lack of grievances redressal system → BRSR. (MPT'25) The primary purpose of any business is to **create or provide useful products** and services to the customer in exchange of **reasonable profits**. *Trick: product banaate wqt > "**koi adverse impact hoa**" > to "**disclose**" karo …….. bechne k liye "**advertise**" karte wqt mislead mat krna & "**fair competition**" hi krna > ab product bech diya to jo customer ka data h wo "**Privacy**" me rkhna .. or usse bataao ki "**use**" kse karte h product > use karne k baad koi complaint aai to "**redressal mechanism**"* a) Reduce negative impact on consumer & Nature: Entities should put in their efforts to reduce the negative impacts of their products and services on consumers, natural environment, and society at large. b) Disclose all kind of adverse impact: The entities should transparently and accurately disclose all kinds of adverse impacts to the user, planet, society, on the biodiversity from their products. c) Advertise not mislead: When advertising about their products, the organisations should ensure that misleading & confusing information is not exposed to the customers about their products or its usage. d) Fair Competition & Freedom Choice: When conceptualizing, designing, and marketing their products, the organisation should not in any manner prevent the freedom of choice and fair competition. e) Privacy of data: When handling customer data, the right to privacy of the customer needs to be maintained. f) Inform customer usage/recycle/reuse: Entities should inform the customers on the safe and responsible ways of usage, reuse, recycling, and disposal of their products, and ways to eliminate over-consumption. g) Grievance redressal system: Business enterprises should make available transparent and accessible grievance redressal and feedback management system for their customers to raise their voices or to seek clarifications. h) Essential goods to everyone: Entities, when in the business of providing essential goods and services (e.g., Utilities), should enable universal access, including to those whose services have been discontinued for any reason, in a non-discriminatory and responsible manner.

(Special Trick by CA Hemnt Somani ;-) ➔ **Trick of 9**: *T SESH EP EC*

P-1: Ethics, **Transparency** & Accountability
P-2: **Safe and Sustainable** Goods and Service
P-3: Promote well-being of all **Employees** including those in the value chain

P-4: Respect for **Stakeholders'** interests and responsiveness
P-5: Respect and promote **Human rights**
P-6: Protection and restoration of **Environment**
P-7: Influence on Public and Regulatory **Policy**
P-8: Promote Inclusive Growth and **Equitable** development
P-9: Provide value to the **Consumers** in a responsible manner

Q13. What are the nine principles of BRSR? How are the nine principles of BRSR linked with the 17 UN SDG's ? (SM)

Hint: *Refer above notes for 9 principles & Below Linkage Table*

➢ **Linkage / Alignment of BRSR Principles with SDG's:**

SDG's	P1	P2	P3	P4	P5	P6	P7	P8	P9
SDG 1			✔	✔				✔	
SDG 2		✔				✔	✔	✔	✔
SDG 3			✔					✔	
SDG 4			✔					✔	✔
SDG 5			✔	✔	✔			✔	
SDG 6		✔				✔		✔	
SDG 7		✔				✔	✔		
SDG 8		✔	✔		✔			✔	
SDG 9		✔					✔		
SDG 10		✔					✔		
SDG 11			✔	✔			✔	✔	
SDG 12		✔				✔			✔
SDG 13		✔				✔	✔	✔	
SDG 14		✔				✔	✔	✔	✔
SDG 15		✔				✔	✔	✔	✔
SDG 16	✔		✔	✔	✔			✔	
SDG 17	✔						✔	✔	

Q14. **BRSR reporting →** Company is engaged in Fintech business; he has **submitted input on Draft of "Digital personal data protection bill"** to concerned Ministry during year 2022-23. ➔ During the same year, he has **also submitted on application to one industry chambers, for inputs related to "how to we can work together to improve/leverage India's digital public infrastructure**, for Bank solutions ". ➔ discuss how above information would likely be disclosed by company in "Principle-wise performance disclosures" as part of BRSR for year 2022-23 ? Whether information discussed above is mandatory to disclose ? (SM & MTP'24)

Hint: Such info to be disclosed in Principle 7 of Principle wise disclosure → influencing public & regulatory policy.
Info. under each principle, disclosed under either Essential (Mandatory) or Leadership (Optional) indicator.

- **Mandatory Disclosure** → **Information relating to membership of Chamber**/associations is in the nature of Essential Indicators and requires mandatory disclosures
- **Optional Disclosure** → Below are in nature of leadership positions taken by the company, optional disclosures
  - ✓ Information relating to inputs provided **by company to the Ministry** on legislative bill
  - ✓ **inputs provided to one of the prominent chambers** on leveraging India's digital public infrastructure

➢ ASSURANCE in BRSR

<table>
<tr><td>Assurance in BRSR:

[ESG Audit]</td><td>

➢ The **top 1,000 listed companies** → need to comply with the provisions of BRSR.
➢ BRSR is expected to be used as a single means for disclosing sustainability related information in India. This would be the main document which the stakeholders, investors would review and do industry analysis
➢ **ESG audit** would be a process that would help the companies to evaluate Environmental & Social risks for Company's products, services, operations etc. Conducting an ESG audit also helps businesses look at their supply-chain risks, risk management capabilities and transparency with shareholders.

<table>
<tr><td colspan="2">ICAI: Standard on Sustainability Assurance Engagements (SSAE) 3000 Assurance Engagements on Sustainability Information</td></tr>
<tr><td>Deals with:</td><td>Assurance engagements on an entity's sustainability information</td></tr>
<tr><td>Intended users of SSAE:</td><td>• Assurance providers providing assurance on sustainability info.
• Entities seeking to engage a professional auditor.
• Regulators, investors, & other users of Sustainability Reporting data</td></tr>
<tr><td>assurance:</td><td>providing reasonable or limited assurance on sustainability information.</td></tr>
<tr><td>Effective date:</td><td>• Voluntary basis for reports covering periods ending on 31st March 2023.
• Mandatory basis for reports covering periods ending on or after 31 Mar24.</td></tr>
</table>

<table>
<tr><td>SSAE 3410, Assurance Engagements on Greenhouse Gas Statements</td></tr>
<tr><td>Deal with assurance engagements on entity's sustainability info. including assurance of BRSR.</td></tr>
</table>

</td></tr>
<tr><td>Methodology to provide assurance on BRSR:

[POI – RSP]</td><td>

Q15. What is the methodology of providing assurance in BRSR? (SM & RTP) - MCQ Also (on Steps)
• Preliminary Review of ESG report, parameters
• On-site Assessment / Verification of ESG Report
• Issuance of Assessment Report and Assessment Statement
• Review of the responses and clarifications on the findings
• Submission of findings of the onsite assessment and document review
• Preparation Assessment of / Verification report including final results of Assessment/ Recommendation

</td></tr>
<tr><td>Social Audit Standards (SAS):</td><td>

The Sustainability Reporting Standards Board (SRSB) of the ICAI has recently issued Social Audit Standards (SAS 100 to 1600).
It Aim to provide Social Auditor with the necessary guidance i.r.t independent impact assessment engagement of Social Enterprises engaged in various areas & audit steps and procedures that should be applied while conducting the social impact assessment.
The Standard sets out the minimum requirements to be followed while conducting impact assessment. L&R may establish additional requirements which should be followed, as applicable.

<table>
<tr><td>SAS</td><td>Particulars</td></tr>
<tr><td>100</td><td>Eradicating hunger, poverty, malnutrition and inequality</td></tr>
<tr><td>200</td><td>Promoting health care including mental healthcare, sanitation and making available safe drinking water</td></tr>
<tr><td>300</td><td>Promoting Education, Employability, and Livelihoods</td></tr>
<tr><td colspan="2">Etc. etc. ….. (Refer Additional PDF Booklet) for Full List of "SAS"</td></tr>
</table>

</td></tr>
</table>

➢ ROLE OF AUDITOR -Consideration of Climate related risk in an "Audit of F.S".

Q16. What is the **auditor's role on ESG aspects** in an **audit of financial statements** of Company? (SM & Nov'24)

FS is Free from MMS:	Role of auditor is to obtain reasonable assurance about whether the FS as a whole are free from MMS, whether due to fraud or error, to report whether the FS are prepared and presented fairly, in all material respects, in accordance with the applicable FRF.
Understand Climate Risk:	In developing understanding of an entity, auditor should consider climate related risks & how these risks may be relevant to the audits. Climate-related risks could be more relevant in certain sectors or industries, e.g., banks and insurance, energy, transportation, materials and buildings, agriculture, food, & forestry products.
Audit Report:	Investors and stakeholders are seeking information from auditor's reports about how climate related risks were addressed in the audit increasing pressure for transparency about climate matters in our auditor's reports.
EOM:	Sometimes, it may warrant inclusion of an EOM paragraph to draw attention to disclosures that are of fundamental importance to users' understanding of the FS. The auditor should also determine whether the entity has appropriately disclosed relevant climate-related information in the FS in accordance with the applicable FRF e.g., Ind-AS or AS ,when relevant before considering climate-related matters in the auditor's report.
Read Other Info:	The auditor should also read the other information for consistency with information disclosed in the F.S and information that may be publicly communicated to stakeholders outside the FS, such as management report narratives in the annual report, press releases, or investor updates. This is a requirement under ISA 720 and SA 720, The Auditor's Responsibilities Relating to Other Info.

Q17.

C.S. Qn: The **agrochemical sector** is about a $35 billion industry in India. The Indian agrochemicals market is segmented by product type (**fertilizers, pesticides**, adjuvants, and plant growth regulators). The **continuous and increased use of agrochemicals seems to have an adverse effect on humans, animals, and nature in whole**.

The **toxicity** levels of the agrochemicals are **harmful, not only to the workers** in the manufacturing process but **also to farmers, the soil, and the end consumers**. The Central Insecticide Board (CIB) of India has categorized agrochemical toxicity levels based on a labeling system—using red, yellow, blue, and green labels—where **red is the most toxic** and green is the least. Most of the red-labeled products are **banned abroad but** are being **sold in India due to the lack of a strong regulatory environment**.

In India, it is estimated that almost **25% of the total amount of agrochemicals** sold are **counterfeit products (Duplicate)**. The quality and the efficacy of these counterfeit products differ from the original products, which can lead to reputational damages for the companies. **Agrochemical companies need to add barcodes** or other identifying technologies to their product packaging, **to allow enduse consumers to check for authenticity**. Also, since India is a multilingual country, the companies will have to publish the usage instructions in multiple languages.

Company A and B are both **listed companies and part of top 1000 listed companies**. They are engaged in the production of agrochemicals.

Company A has been looking for opportunities to comply with the recently launched and evolving **guidelines** for **ESG** in India
while Company B on the other hand is just focused to increase revenue and profits.
In December 2022, **Company A made a decision to eliminate red-labeled products** from its portfolio and to **increase its research and development (R&D) spending to safeguard** itself from the market shift due to the

new regulatory norms; in 2022, it also discontinued yellow-labeled products. Company A is **also planning to incur a small expenditure to improve their backend systems and provide for all its products a unique labeling system** that is user friendly and interactive.

At the other end of the spectrum, **14% of Company B's top-selling products are derived from red**- and yellow labeled

Company A will be cushioned for regulatory changes and thus, would not face potential future downsides. Company B has recently witnessed a 9% year on year growth in revenue from the last financial year and is planning to increase the production of its bestselling product, an insecticide DDT, categorized as red labelled by the Central Insecticide Board. **Company B has recently been approached by the regulatory authority for an investigation** for its products which include performing additional tests and studies to testify that its products have no adverse effects.

1. **What** would be the **reporting requirements** for **each** of the **two companies**?
2. **Which Company** has **absorbed** the **impacts of possible future regulatory changes**? **What** are the **steps taken by that Company for complying** with the **regulatory standards**?
3. **What would** be **consideration by the auditors** of **Company A and B in** the **audit of FS**? (SM)

Answer:

1. Both Companies A and B are among part of top 1000 listed companies. Hence, these companies have to mandatorily provide **BRSR reporting** (Business responsibility and Sustainability reporting) in accordance with **9 principles** of NGBRC as mandated by SEBI.

2. Company A has absorbed impact of regulatory changes. It has decided to eliminate redlabelled and yellow-labelled products from its portfolio which are toxic in nature. Besides, it has increased its expenditure on R & D to meet with new regulatory norms. It has also incurred expenditure for improving its labelling system which would help end users to know about the nature of the product. All these steps have been taken by Company A for complying with regulatory standards.
   - **Principal 2**: **Company A is trying to meet with requirements of** Principle 2 by making R & D expenditure. Further, it has also eliminated red-labelled/yellow-labelled products from its portfolio. "Principle 2 relates to the requirement that businesses should provide goods and services in a manner that is sustainable and safe".
   - **Principal 9**: Besides, **by adopting a friendly bar-coded packaging labelling system**, company is adhering to requirements of Principle 9 which states that businesses should engage with and provide value to their consumers in a responsible manner. Steps taken by a company to inform its consumers about safe and responsible usage of products fall in its domain.
   - **Principal 3**: Since toxic agrochemicals are also harmful to workers engaged in their manufacturing process, their discontinuation bodes well for workers in the company A in line with Principle 3 which states that businesses should respect and promote the well-being of all employees including those in their value chains. By discontinuing products which are harmful to soil, company A is meeting requirements of Principle 6 which states that businesses should respect and make efforts to protect and restore the environment.

3. **Company A is complying with regulatory** norms whereas 14% of company B's revenue are derived from red and yellow labelled products. In fact, **company B is planning to increase production of its red labelled** product i.e., insecticide DDT which has been categorized as such by Central Insecticide Board.
   The auditor of Company B would have to keep in **mind requirements of SA 250** in this regard. Non-compliance with laws and regulations may result in fines, litigation or other consequences for the entity that may have a material effect on the FS. It can result in material misstatements. Central Insecticide Board has already launched its investigation into products of company. All these factors would be taken into consideration by auditor of Company B.

Auditors of Company A and Company B need to obtain audit evidence regarding compliance with laws and regulations and audit procedures have to be designed accordingly. Auditor of Company A can obtain assurance from regulatory compliance by the company. Fall of revenue by 8% in one year is not a matter of concern to them as it is a transitory phase.

However, **auditors of Company B** would also have to take into consideration **requirements of SA 570 as non-compliance** with regulatory requirements could result into claims from such proceedings which the company may not be able to satisfy.

Summary

1. One Shot Revision

Thank

You